Top 8 KPI Quick Reference Guide

The eight metrics every non-profit board should track — in plain language, no finance degree required.

These are the eight indicators that, monitored monthly, give a board enough signal to govern responsibly without drowning in numbers. Use this guide during board meetings to translate the dashboard into a conversation about what's working, what to watch, and what to do next.

FINANCIAL RESILIENCE (Is the organization stable?)

1 Months of Operating Reserves

What it is: How many months you could pay the bills with cash on hand if every dollar of revenue stopped today.

Think of it like: *Your emergency fund. 3-6 months saved up is healthy; below 2 is an emergency.*

✓ **Healthy:** 3 – 6 months of cash on hand

! **Watch out:** Below 2 months — protect cash now

Center for People (Apr 2026): 5.1 months (Healthy) | $988K cash ÷ $193K avg monthly burn

2 Net Surplus / (Deficit)

What it is: Revenue minus expenses. Positive means you finished ahead; negative means behind.

Think of it like: *Your checking account at month-end. Did you spend more than you brought in?*

✓ **Healthy:** Positive — any amount

! **Watch out:** Negative for 2+ months in a row

Center for People (Apr 2026): ($59,878) YTD deficit | $197K better than budget

3 Budget vs Actual Variance

What it is: How closely the real numbers track the plan the board approved. Big swings either way deserve explanation.

Think of it like: *Did the trip cost what you budgeted? A little over is fine; way under can also signal under-execution.*

✓ **Healthy:** Within ±10% of budget

! **Watch out:** > ±20% sustained over 2+ months

Center for People (Apr 2026): Net $197K favorable | Driven by salary timing, not just performance

4 Program Expense Ratio

What it is: Of every dollar spent, what share goes directly to mission delivery (vs. admin and fundraising).

Think of it like: *If a donor gives $1, how much actually helps people? Watchdog organizations rate orgs by this.*

✓ **Healthy:** ≥ 75% (80%+ is strong)

! **Watch out:** Below 65% — too much overhead

Center for People (Apr 2026): 80.7% total / 52.7% cash basis | In-kind tilts the headline figure

5 Revenue Concentration

What it is: What share of revenue comes from the single largest funder. The more concentrated, the more fragile.

Think of it like: *Putting all eggs in one basket. If your biggest funder walks, can you survive?*

✓ **Healthy:** < 40% from any single source

! **Watch out:** Over 50% from one source — vulnerability

Center for People (Apr 2026): 67.8% from Grants | Top 3 sources = 96.9% (concentrated)

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continued

FUNDRAISING EFFICIENCY (Is development paying for itself?)

6 Fundraising Efficiency Ratio

What it is: For every $1 spent on fundraising (staff, events, materials), how many dollars come back in donations.

Think of it like: *If you spend $1 on a lemonade stand and bring back $4, your ratio is $4-to-$1. Higher is better.*

✓ **Healthy:** $3 – $5 raised per $1 spent

! **Watch out:** Less than $2 per $1 — restructure

Center for People (Apr 2026): **Pending — needs fundraising expense breakout**

7 Donor Retention Rate

What it is: Of all the people who donated last year, what percentage gave again this year.

Think of it like: *Customer loyalty. It costs 5–10× more to find a new donor than to keep an existing one.*

✓ **Healthy:** ≥ 50% (industry average is ~45%)

! **Watch out:** Below 40% — you're on a treadmill

Center for People (Apr 2026): **Pending — needs Givebutter retention pull**

MISSION DELIVERY (Are we changing lives efficiently?)

8 Cost Per Person Served

What it is: Total program spending divided by the unduplicated count of people who received services.

Think of it like: *Unit economics for the mission. Funders increasingly ask "what does it cost to help one person?"*

✓ **Healthy:** Track trend; benchmark vs peer orgs

! **Watch out:** Rising w/ flat outcomes — audit

Center for People (Apr 2026): **Pending — needs unduplicated client count**

HOW TO USE THIS GUIDE (Quick tips for the boardroom)

- **Trends, not single months.**
  One bad month is noise. Two or three in a row is a signal. Always ask: is this a pattern?
- **Cash basis vs. total basis matters.**
  When in-kind contributions are large (CFPN: $1.1M YTD), look at both the headline ratio and the cash-only version. They tell different stories to the board.
- **Green = stay the course.**
  When a KPI is in the healthy range, your job is to protect it, not change everything.
- **Yellow / red = ask why.**
  A warning sign means investigate, not panic. Find the cause before reacting.

Questions? That's the whole point.
If a metric confuses you, ask. The best boards say "what does this mean?" — not "looks fine, next slide."